Solution

In the books of Aruna Mills Ltd.
Journal entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Bank A/c (20,000 × 4) Dr.		80,000	
	To Share application A/c			80,000
	(Application money received)			
	Share application A/c Dr.		80,000	
	To Share capital A/c			80,000
	(Application money transferred to share capital A/c)			
	Share allotment A/c (20,000 × 4) Dr.		80,000	
	To Share capital A/c			80,000
	(Allotment money due)			
	Bank A/c (20,000 × 4) + (300x2) Dr.		80,600	
	To Share allotment A/c			80,000
	To Calls in advance A/c (300 × 2)			600
	(Allotment money received)			
	Share first and final call A/c (20,000 × 2) Dr.		40,000	
	To Share capital A/c			40,000
	(First and final call money due)			
	Bank A/c (19,700 × 2) Dr.		39,400	
	Calls in advance A/c Dr.		600	
	To Share first and final call A/c			40,000
	(First and final call money received and calls in advance adjusted)			

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